(II) and (IV) take the same shape, called a zigzag. Yet this *same stock price data*, when adjusted for inflation, beautifully reflect the tendency toward alternation in corrective form, as we will see in Chapter 3.

A Bit of Detective Work

What made our conclusion that a Grand Supercycle degree advance began in the late 1700s only *probably* correct, as opposed to assured, is that we lacked earlier data to prove that a bear market of the same degree had preceded it. A study of social conditions attending wave patterns uncovered some information that nevertheless supported that presumption mightily. A key characteristic of major corrective wave bottoms is that, as reflections of a deeply negative social mood, they usher in *economic depressions*, which are followed by *major wars*. The low of 1857/1859, for example, accompanied a depression and was followed by the Civil War, while the crash low of 1932 accompanied the deepest depression since the 1850s and was followed by World War II. The War of 1812 and World War I began at stock market lows of smaller degree, and were associated with recessions. Because of this correlation, the occurrence of both the Revolutionary War from 1776 to 1781 and a deep depression from 1785 to 1791 that affected the entire Western World strongly corroborated the thesis that a substantial bear market, perhaps as large as Grand Supercycle degree, had ended in the late 1700s.

A stunning confirmation of this conclusion finally arrived in the form of the record of British stock prices in the 18th century. These data were reported regularly as early as 1695 in English weekly and twice-weekly publications and were graphed in a 1981 article by Philip Mirowski in the *Journal of Economic History*. Splicing this data onto the record of the U.S. market causes the complete picture to emerge. It is clearly the case, as you can see in Figure 2-2, that a bear market in share prices was in force in England for 64 years, ending in 1784. This latter date falls neatly within, as Chapter 5 of *Elliott Wave Principle* had put it, "our presumed time period for the beginning of the Grand Supercycle in the stock market around 1770 to 1790." The bear market began in 1720 at the peak of the South Sea Bubble, a stock trading mania, and culminated with the British loss of its American colonies in the Revolutionary War. It took the classic three-wave shape, as you can see by the labels (A), (B) and (C). Corrective forces remained in effect for over six decades